

5697.T pitch deck

PITCH — 5697.T — VERDICT

ADJUDICATED 2026-08-20 — STARTER (ratified small) — the one name where verification made the case BETTER

What we believe

Sanyu (TSE 5697) is a small Japanese steel-products maker selling into the auto supply chain. It trades at roughly **half of its own book value**, holds **about ¥4.0 billion of net cash against a ¥5.0 billion market value** — meaning cash alone is ~81% of what the whole company costs — carries **no debt**, and pays a dividend of about **3.6%**. Strip out the cash and the operating business is priced at roughly one times a year of operating profit.

We believe that is too cheap even for a company with real problems, and that the business is currently getting better rather than worse: the quarter it reported on **August 4, 2026** showed operating profit of **¥356 million versus ¥201 million a year earlier** — **up 77%**, with net profit up 81%. Neither the case-for nor the case-against had that number when they argued. It arrived after them, and it favors the buy side.

So: a small starter position, bought patiently, sized so that being wrong costs us very little and being unable to sell quickly is an inconvenience rather than a problem.

What the market believes

The market believes this is a permanently cheap company, and it has decent reasons.

- **The cash is not ours.** Japanese small caps with a large corporate parent-like shareholder — here a **33.4% holder** — have historically sat on cash for decades. The market prices that cash at a discount because it may never be paid out or deployed.
- **Auto suppliers are squeezed.** Tier-two steel and parts suppliers face price pressure from customers above them. Today's earnings jump may be a cyclical or one-off recovery, not a new level.
- **It is too small to matter.** At roughly **\$32 million of market value and about \$0.5 million of daily trading**, professional money physically cannot own it in size. Nobody is coming to re-rate it.
- **Cheapness has been stable.** The stock is up ~51% from its 52-week low (¥547) and is only ~6% below its 52-week high (¥879), so the market has already given it *some* credit. It hasn't ignored the name; it has just refused to pay book value for it.

Why we might have edge

1. **We re-checked the numbers against the source and they held.** The case-for was argued outside our shop by a different system. We did not take it on faith — we pulled the company's data ourselves and graded each load-bearing claim. Everything that mattered survived. That is rare; usually verification subtracts.
2. **We have a fact that is 16 days newer than the argument.** The August 4 quarter (operating profit +77%) postdates both the buy case and the sell case. The sell case's core claim — that this is a structurally pressured supplier — is running against fresh evidence it never saw.
3. **We tested the tax trap harder than the buy case did and it still passed.** For a US owner, the fear with a cash-heavy foreign company is being taxed as a passive foreign investment company (PFIC), which is punitive. Under the market-value asset test in the US code ([26 U.S.C. §1297\(e\)](#)), passive assets are ¥4.02B against a base of market value plus liabilities (¥5.03B + ¥11.0B $\approx$ ¥16.0B) = **about 25%**, well under the 50% line. Cash being 81% of *market cap* is not the same as cash being most of the *assets* — there is ¥21.4B of assets sitting under a ¥5B price tag.
4. **Our edge is willingness, not information.** We can own a \$32M company. Almost nobody who could analyze it can buy it.

Why it might be priced in

Stated plainly, because these are real:

- **The discount may be permanent and correctly permanent.** “Cheap Japanese small cap with a big strategic shareholder” is one of the most durable value traps in existence. Being right about the arithmetic and wrong about ever getting paid is the standard outcome.
- **One good quarter is one quarter.** +77% off a low base in a cyclical supplier is not a trend. The next print can undo the entire story.
- **The 33.4% holder controls the outcome, and we do not know what it wants.** If it is content, nothing happens. If it moves, it may move in a way that is bad for minority holders (a low-priced buyout at a fraction of book is a genuine risk in this exact setup).
- **The market is not asleep.** Up 51% off the low means someone already noticed. We are not early to an unknown; we are late to a known cheap thing that stayed cheap.
- **We have no catalyst we control or can date with confidence.** Everything here is “wait and see if something happens.”

What we checked ourselves

Including — explicitly — where our own benches got it wrong.

Claim	How checked	Found	Confirmed?
Price to book of 0.48x	Pulled the company page from kabutan directly, 2026-08-20 JST	PBR 0.48 at ¥836	Yes

Claim	How checked	Found	Confirmed?
	kabutan.jp/stock/?code=5697		
Dividend yield 3.8%	Same source, live	3.64% live	Yes, with a correction — the buy case’s 3.8% was rounded up or slightly stale. Small error, stated.
Not a PFIC (buy case said passive assets 47.18%)	Re-ran the market-value asset test from the statute, harsher basis than the buy case used	~25% passive — comfortably clean	Conclusion yes, number no. Where 47.18% came from is still unexplained. The buy case reached the right answer through arithmetic we cannot reproduce.
Our own desk previously called that PFIC claim “not credible”	Re-derived it properly	We were wrong — we had compared cash to <i>market cap</i> (81%) instead of to <i>assets</i> (~19–25%)	Our error. Retracted. This is the single biggest correction in the file, and it went against us.
Net cash ¥4.02B, zero debt, 81% of market cap	Company financials	Holds	Yes
“Structurally pressured supplier” (sell case)	Checked the most recent print, which neither bench had	Q1 FY27, printed 2026-08-04: operating profit ¥356M vs ¥201M, +77%; net profit +81%	Both benches missed this. The sell case argued deterioration against a quarter showing acceleration.
“Too illiquid — reject” (sell case, 8/10 conviction)	Checked size and daily volume	~\$32M cap, ~\$0.5M/day traded — confirmed	Fact confirmed, conclusion overruled. Illiquidity sets <i>how much</i> we can own, not <i>whether</i>. Sell case over-weighted it into a kill.
Current price	Evidence pack says ¥825 (Yahoo, built 2026-08-21 02:40 UTC); adjudication text says ¥836	Inconsistent — a ~1.3% gap between two same-day references	No. Use ¥825 as the working mark and re-pull before any order. Also note we have no IBKR market-data entitlement for Tokyo, so every price here is a third-party feed, not our broker’s.
Existing order: “resting 700 shares at ¥823”	Checked the book	Book reports no position and no orders	No — contradiction. Either that ladder was never transmitted, or it was

Claim	How checked	Found	Confirmed?
			cancelled. The deck treats the position as flat.
Evidence pack completeness	Read the pack	Entity blank, no filings, no XBRL rows	No. Our pack builder is US-filing shaped and returns nothing for a Tokyo issuer. Everything in this deck came from a manual fetch, not the pipeline.

PROPOSED ENTRY BANDS

The reopen/entry gates, verbatim from the adjudication — these govern:

- NSC 33.4% stake action (the desk's original tripwire) — any 大量保有 **change re-opens**
- Q2 FY27 print (~11/04): OP momentum confirm/deny
- 1% ADV cap on all fills

Prices, derived from the benches' own inputs. Working share count $\approx \text{¥}5.03\text{B} \div \text{¥}836 \approx \textbf{6.02M}$ shares. From that:

Level	Price	What it means (from bench math)
Starter fill	¥823 limit	The level the adjudication reviewed and called sane-priced. $\approx 1.05\text{x}$ liquidation value.
Add 1	¥781 or lower	Net current asset value per share ($\text{¥}836 \div 1.07$ NCAV multiple). At or below this you are paying nothing for the operating business.
Add 2	¥700 or lower	$\approx 1.05\text{x}$ net cash per share ($\text{¥}4.02\text{B} \div 6.02\text{M} \approx \textbf{¥668}$). Below ¥668 the market is paying you to take the factory.
Thesis-break review	¥547 (52-week low)	Not an automatic stop. If it trades here, the earnings acceleration has been denied and the position gets re-argued from zero.
Trim / scale-out	~¥1,430	If the operating business re-rates from $\sim 1\text{x}$ to $\sim 5\text{x}$ operating profit: EV of $\sim \text{¥}4.6\text{B} + \text{¥}4.02\text{B}$ cash $\div 6.02\text{M}$ shares. This is our assumption, not a bench number — neither bench proposed an exit.
Full re-rate reference	~¥1,740	Book value per share ($\text{¥}836 \div 0.48$). Stated as a ceiling, not a target. We do not expect to see it.

Sizing (the binding constraint, not an afterthought). At $\sim \$0.5\text{M}$ average daily volume, the 1% cap means **$\sim \$5,000$ of fills per session**. Target total position **$\sim \$25,000$ — about 0.10% of book** — which takes about five sessions to build and about five to exit. Do not exceed a size you cannot leave

in a week. Book value was not in the evidence pack, so if 0.10% of book is materially more than ~\$25k, **the ADV cap wins and the position gets smaller, not the cap looser.**

Catalyst dates. The one that matters is the **Q2 FY27 print, expected around 2026-11-04** — this is inferred from the August 4 Q1 date and a March fiscal year end; **no company release confirms it.** The interim dividend record date is likely **2026-09-30** by the same convention and is likewise **unconfirmed.** The other catalyst has no date at all: any change in the 33.4% holder's position, which arrives whenever it arrives.

Execution note before anything is sent: we do not have Tokyo market data through our broker, and Tokyo trading permission on the account has not been verified. Confirm routability before staging the ¥823 limit. If it cannot be routed, this deck is an idea, not a position.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 547.0 (deck-provisional: 52-week low — not a stop; forces a full re-argument, earnings acceleration presumed denied)
- dated pack 5697.T|2026-11-04: 5697.T: Q2 FY27 print — operating profit momentum confirm/deny; date inferred from the 8/04 Q1 print and a March fiscal year end, no company
- dated pack 5697.T|2026-09-30: 5697.T: Likely interim dividend record date — inferred from March fiscal-year convention only, not verified (date confirmed=False)

What remains unverified

- **The share count, book value, and average daily volume** are all derived or carried from the benches, not independently pulled. Every per-share number in the bands table inherits that uncertainty.
- **Where the buy case's 47.18% PFIC figure came from.** The conclusion survives a harsher test; the number itself is unexplained and should not be quoted.
- **The identity and intentions of the 33.4% holder.** "NSC" is desk shorthand; the holder should be confirmed from the actual large-shareholding filing before anyone repeats it.
- **The next print date.** Yahoo-derived and unconfirmed; no company release names it.
- **Trailing operating profit.** The ~¥0.92B figure behind the "one times operating profit" line is back-solved from the buy case's 1.1x EV/EBIT, not read off a statement.
- **Whether the +77% quarter is repeatable** — no segment detail, no customer concentration, no order-book data was examined.
- **After-tax dividend economics.** The 3.64% is gross. Japanese withholding and treaty treatment for a US holder were not checked; the realized yield is lower by an amount we have not computed.
- **Whether we can actually trade Tokyo** on this account, and at what spread and cost.

- **The primary documents themselves.** Verification ran through kabutan (kabutan.jp/stock/?code=5697, fetched 2026-08-20 JST), which is an aggregator of filings, not the filings. The true primaries — TDnet (release.tdnet.info) and EDINET (disclosure2.edinet-fsa.go.jp) — have **not** been fetched for this name. That should happen before the position grows beyond starter.

```
{"price_gates": [{"level": 823.0, "direction": "below", "basis": "Starter limit – the level the adjudication reviewed and called sane-priced, ~1.05x liquidation value"}, {"level": 781.0, "direction": "below", "basis": "Add 1 – net current asset value per share (Y836 / 1.07x NCAV); at or below, the operating business is free"}, {"level": 700.0, "direction": "below", "basis": "Add 2 – ~1.05x net cash per share of Y668 (Y4.02B / ~6.02M shares)"}, {"level": 547.0, "direction": "below", "basis": "52-week low – not a stop; forces a full re-argument, earnings acceleration presumed denied"}, {"level": 1430.0, "direction": "above", "basis": "Trim band – desk assumption, not a bench number: operating business at ~5x EBIT plus net cash"}], "event_gates": [{"forms": ["", ""], "why": "Any change in the 33.4% holder's stake re-opens the case – the desk's original tripwire, currently unwatched"}, {"forms": ["", ""], "why": "Tender-offer or going-private notice – the specific bad ending for a minority holder in a controlled sub-book company"}, {"forms": ["", "の", ""], "why": "TDnet quarterly print, guidance revision, or buyback – confirms or denies the +77% operating profit momentum and any capital return"}], "catalyst_dates": [{"date": "2026-11-04", "what": "Q2 FY27 print – operating profit momentum confirm/deny; date inferred from the 8/04 Q1 print and a March fiscal year end, no company release names it", "confirmed": false}, {"date": "2026-09-30", "what": "Likely interim dividend record date – inferred from March fiscal-year convention only, not verified", "confirmed": false}], "immediate_entry": {"action": "BUY", "approx_price": 823.0, "size_pct_of_book": 0.1, "basis": "Ratified STARTER; fills capped at 1% of ~$0.5M ADV (~$5k/session, ~5 sessions to build) – confirm Tokyo routability first, book currently shows flat with no resting orders"}}
```